

Project: 3356 – 2014 EGWP Guidance Changes

**REQUIREMENTS AND DESIGN DOCUMENT
VERSION 1.6**



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Revision History

Date	Version	Description	Author
11/19/13	1.0	Initial Draft	Angie Keeran
11/27/13	1.1	BO Review	Angie
12/3/13	1.2	Business Scenarios Added	Virginia Kemp
12/5/13	1.3	Business Owners Review	Angie
12/9/13	1.4	Internal Review – updated scenario numbering	Angie
12/13/13	1.5	Updated Flow Diagrams	Angie

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Requirements Section

Business Justification

Background/Current Process

Currently at Point of Sale (POS), Part D Coverage Gap (CG) claims with the Employer Group Waiver Plan (EGWP) benefit are not acknowledging dollars that are not True Out Of Pocket (TrOOP) eligible, causing the member to move to the Catastrophic (CAT) phase of the benefit structure in error.

Problem Description

CMS issued final guidance for 2014 Prescription Drug Event (PDE) processing. PDE impact is downstream. Argus will update POS processing to accommodate the CG/CAT straddle claims for EGWP. These changes are effective 1/1/14. However, plans that adopted Defined Standard (DS) EGWP as of 1/1/13 should begin using the logic at the time their EGWP changed to Defined Standard.

Note: See Assumptions #4, #7

Completion Criteria

CMS compliance will be met. GDCA and GDCB totals will reflect the correct amounts.

Assumptions

Assumption #	Description
1	NPP will remain \$0 for DS plans, including EGWP
2	If CMS excluded drug and coverage code plan type is not Enhanced Alternative (EA), then post pay 3 = A and post pay 4 = X
3	If plans have other drugs on their enhanced list, then benefits will need to assign the A/X combination
4	Plans will need to be set up as Defined Standard and follow the DS Part D benefit
5	PDE will follow on the DS benefit structure

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Assumption #	Description
6	Sync between RxNova and Deductible processing will need to be done outside of this project.
7	Project is global and is effective 1/1/2013

Requirements

Business Need/Feature 1

At Point of Sale (POS), system must acknowledge the EGWP Other Health Insurance (OHI) benefit. Therefore, any EGWP dollars that aren't TrOOP eligible must be acknowledged at adjudication. Ensure that during adjudication, member stays in the CG stage of benefit and does not go to CAT unless TrOOP has been met (ensure EGWP OHI benefit that is not TrOOP eligible, is factored in).

Detailed Requirements

- 1.1 Applies to Claims where the Part D benefit straddles CG and CAT but the EGWP benefit for CG reduces the TrOOP amount to less than the Threshold
- 1.2 Update status to under Coverage Gap and move CAT dollars to PLRO
- 1.3 Update Gross Drug Cost Above Out-Of-Pocket Threshold (GDCA) to reflect that the claim did not straddle into the CAT phase.
- 1.4 Update Gross Drug Cost Below Out-Of-Pocket Threshold (GDCB) to reflect the final adjudication of the claim.
- 1.5 Continue to apply the gap discount calculation on the Part D benefit before the EGWP benefit applies to the claim
- 1.6 Part D Member and Plan liability will continue to be based on the amount left to meet Coverage Gap for Part D
- 1.7 Calculate member cost share based on the EGWP benefit and the SWRP straddle options elected by the customer

Requirements Work Flows

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2014 Defined Standard EGWP CG/CAT Straddle

```

graph TD
    Start([Start]) --> Box1[Part D CG/CAT $ calculated under Part D logic]
    Box1 --> D1{Part D Defined Standard?}
    D1 -- No --> Exit1([Exit])
    D1 -- Yes --> D2{Part D CG/CAT straddle?}
    D2 -- No --> Exit2([Exit])
    D2 -- Yes --> D3{SWRP Claim?}
    D3 -- No --> Exit3([Exit])
    D3 -- Yes --> Box2[Get Phase SWRP Member Liability]
    Box2 --> D4{Plan uses Lesser of Logic?}
    D4 -- No --> Box3[CG Member = CG SWRP Member]
    D4 -- Yes --> D5{CG Part D Member < CG SWRP Member}
    D5 -- No --> Box4[CG Member = CG SWRP Member]
    D5 -- Yes --> Box5[CG Member = Part D CG Member]
    Box5 --> Box6[CG PLRO = 0]
    Box6 --> Exit4([Populate values and Exit])
    Box4 --> Box7[CG PLRO = CG Part D less CG SWRP Member]
    Box7 --> D6{SWRP benefit reduce TrOOP below threshold?}
    D6 -- No --> Exit5([Populate values and Exit])
    D6 -- Yes --> Box8[Add CAT $ to CG PLRO]
    Box8 --> Exit6([Populate values and Exit])

```

Part D CG/CAT \$ calculated under Part D logic

Part D Defined Standard?

Yes

No

Exit

Part D CG/CAT straddle?

Yes

No

Exit

SWRP Claim?

Yes

No

Exit

Get Phase SWRP Member Liability

Plan uses Lesser of Logic?

Yes

No

CG Member = CG SWRP Member

CG Member = CG SWRP Member

CG Member = Part D CG Member

CG PLRO = 0

Populate values and Exit

CG Member = CG SWRP Member

CG PLRO = CG Part D less CG SWRP Member

SWRP benefit reduce TrOOP below threshold?

Yes

No

Populate values and Exit

Add CAT \$ to CG PLRO

Populate values and Exit

Includes claims that straddle more than two phases (DD/IC/CG/CAT or IC/CG/CAT) and LICS claims

Plan \$ calculate under the Part D benefit

Plan \$ calculate under the Part D benefit

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Business Design/Scenarios

Back-End Business Scenarios

Scenario One: EGWP Coverage Gap and Catastrophic Straddle claim – TrOOP not met

Entry Criteria

EGWP Plan

Defined Standard Plan

Member is in Coverage Gap phase

Inputs

Tasks/Process

1. Claim is Part D
2. Plan is Defined Standard EGWP
3. Member is in the Coverage Gap Phase
4. Coverage Gap \$ is calculated as Left to Meet TrOOP amount divided by threshold table value (.975 for 2013)
5. Ingredient cost + sales tax is greater than Left to Meet TrOOP amount
6. Part D coverage gap member cost share is calculated at 47.5% of coverage gap \$
7. Part D coverage gap discount is calculated at 50% of the coverage gap \$
8. SWRP benefit is derived
9. Coverage Gap PLRO is calculated as Part D member cost share less SWRP cost share.
10. Left to Meet TrOOP is reduced by PLRO
11. TrOOP does not meet Threshold
12. \$ that would have moved to CAT is moved to PLRO

Outputs

Claim pays

Claim is reported as a Coverage Gap claim that does not straddle

Exit Criteria

Next claim is processed

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Scenario Two: EGWP Coverage Gap and Catastrophic Straddle claim – TrOOP Met

Entry Criteria

EGWP Plan

Defined Standard Plan

Member is in Coverage Gap phase

Inputs

Tasks/Process

1. Claim is Part D
2. Plan is Defined Standard EGWP
3. Member is in the Coverage Gap Phase
4. Coverage Gap \$ is calculated as Left to Meet TrOOP amount divided by threshold table value (.975 for 2013)
5. Ingredient cost + sales tax is greater than Left to Meet TrOOP amount
6. Part D coverage gap member cost share is calculated at 47.5% of coverage gap \$
7. Part D coverage gap discount is calculated at 50% of the coverage gap \$
8. SWRP benefit is derived
9. Coverage Gap PLRO is calculated as Part D member cost share less SWRP cost share.
10. Left to Meet TrOOP is reduced by PLRO
11. TrOOP does meet Threshold
12. Balance of claim move to CAT

Outputs

Claim pays

Claim is reported as a Coverage Gap / Catastrophic straddle claim

Exit Criteria

Next claim is processed

Scenario Three: EGWP All phase straddle claim – TrOOP not met

Entry Criteria

EGWP Plan

Defined Standard Plan

Inputs

Tasks/Process

1. Claim is Part D
2. Plan is Defined Standard EGWP
3. Deductible is calculated
4. Balance of claim moves to Initial Coverage
5. IC member cost share is calculated as 25% of ingredient cost + sales tax in IC phase
6. Drug spend is met
7. Balance of claim moves to Coverage Gap
8. Coverage Gap \$ is calculated as Left to Meet TrOOP amount divided by threshold table value (.975 for 2013)
9. Ingredient cost + sales tax is greater than Left to Meet TrOOP amount
10. Part D coverage gap member cost share is calculated at 47.5% of coverage gap \$
11. Part D coverage gap discount is calculated at 50% of the coverage gap \$
12. SWRP benefit is derived
13. Coverage Gap PLRO is calculated as Part D member cost share less SWRP cost share.
14. Left to Meet TrOOP is reduced by PLRO
15. TrOOP does not meet Threshold
16. \$ that would have moved to CAT is moved to PLRO

Outputs

Claim pays

Claim is reported as a Dedcutible to Coverage Gap straddle claim

Exit Criteria

Next claim is processed

Scenario Four: EGWP All phase straddle claim – TrOOP met

Entry Criteria

EGWP Plan

Defined Standard Plan

Inputs

Tasks/Process

1. Claim is Part D
2. Plan is Defined Standard EGWP
3. Deductible is calculated
4. Balance of claim moves to Initial Coverage
5. IC member cost share is calculated as 25% of ingredient cost + sales tax in IC phase
6. Drug spend is met
7. Balance of claim moves to Coverage Gap
8. Coverage Gap \$ is calculated as Left to Meet TrOOP amount divided by threshold table value (.975 for 2013)
9. Ingredient cost + sales tax is greater than Left to Meet TrOOP amount
10. Part D coverage gap member cost share is calculated at 47.5% of coverage gap \$
11. Part D coverage gap discount is calculated at 50% of the coverage gap \$
12. SWRP benefit is derived
13. Coverage Gap PLRO is calculated as Part D member cost share less SWRP cost share.
14. Left to Meet TrOOP is reduced by PLRO
15. TrOOP does meet Threshold
16. Balance moves to Catastrophic

Outputs

Claim pays

Claim is reported as a Deductible to Catastrophic straddle claim

Exit Criteria

Next claim is processed

Appendix

GUI Claim Detail Screen – Med Pd D radio dial

Claim Detail

Claim #: POS #: Benefit Name: Pricing Mod: Ver #: Pharmacy NPI: Pharmacy Name: Pharmacy Qlfr: Member ID: Customer ID:

Type: Active: Inq: Not: Held: Ebm: Date Written: Date Filled: Date Received: Stat: Afft: 0000000 Netwk: 1 OReg: Prescriber ID: Prescriber Qlfr: D O B: Begin: Client: Group:

Claim Status: Source: Date Matched: Date Paid: Date Adjusted: Rx No: DAW: Sex: End: NDC: Current Claim **Test**

☐ Plan Data ☐ Errors ☐ NDC ☐ Add/Upd ☐ POS/ECT ☐ Deduct ☐ Deduct2 ☐ Deduct3 ☐ Cdhp/Cdhc ☐ Comprt ☐ Mbr Liability ☐ DUR Resp ☐ Calc Cost ☐ Med/DUR ☐ Misc 1 ☐ Misc 2 ☐ Misc 3 ☐ Benefit ☐ Member ☐ CMS ☒ Med Pt D ☐ Compound ☐ Recon/Pmnt ☐ NX OPR ☐ DUR/Pps ☐ QAC ☐ Clinical ☐ PSI ☐ RxProg ☐ ServProg ☐ COB ☐ ACR ☐ FIR ☐ Partial Fill ☐ Wrk Comp ☐ Messages ☐ Pic Req ☐ Sls Tax ☐ Clncl2 ☐ Prvdr ☐ Rx PP ☐ Sx PP ☐ Cln Req ☐ Misc Resp ☐ Bnft Stg ☐ Facility ☐ Addnl Msg ☐ COB Resp ☐ Global Report Ind ☐ Customer Report Ind ☐ Exch/Marketplace 1 ☐ Exch/Marketplace 2

-----UCF----- -----PLAN-----

M Qty: Day Sply: Ingr Cst: Disp Fee: Sls Tax: Total: Copay: Balance: Calc Bal:

-----MEDICARE PART D-----

TrOOP Eligible: TrOOP Applied Amt: Non-TrOOP Elig/PLRD Amt: Other TrOOP Amt: LICs Amt: Free First Fill Flg: LICs Code: LICs Effective Date: MTM Code: MTM Effective Date: Instrl Code: Instrl Effective Date: FDA Def Status: Tot Cov Drg Cst: Troop Accum: Rep Gap Disc: Transition Ltr: Plan Type: DS = Defined Standard EA = Enhanced Alternative

Comments (For printing purposes only - this info is not saved on the database)

ReSearch **Close** **Help**

Claim Detail Screen - Misc 3 radio dial

☐ Plan Data ☐ Errors ☐ NDC ☐ Add/Upd ☐ POS/ECT ☐ Deduct ☐ Deduct2 ☐ Deduct3 ☐ Cdhp/Cdhc ☐ Comprt ☐ Mbr Liability ☐ DUR Resp ☐ Calc Cost ☐ Med/DUR ☐ Misc 1 ☐ Misc 2 ☒ Misc 3 ☐ Benefit ☐ Member ☐ CMS ☐ Med Pt D ☐ Compound ☐ Recon/Pmnt ☐ NX OPR ☐ DUR/Pps ☐ QAC ☐ Clinical ☐ PSI ☐ RxProg ☐ ServProg ☐ COB ☐ ACR ☐ FIR ☐ Partial Fill ☐ Wrk Comp ☐ Messages ☐ Pic Req ☐ Sls Tax ☐ Clncl2 ☐ Prvdr ☐ Rx PP ☐ Sx PP ☐ Cln Req ☐ Misc Resp ☐ Bnft Stg ☐ Facility ☐ Addnl Msg ☐ COB Resp ☐ Global Report Ind ☐ Customer Report Ind ☐ Exch/Marketplace 1 ☐ Exch/Marketplace 2

-----UCF----- -----PLAN-----

M Qty: Day Sply: Ingr Cst: Disp Fee: Sls Tax: Total: Copay: Balance: Calc Bal:

-----MISC DATA 3-----

Post Procg Fee Amt: Postpay 2: Postpay 3: Postpay 4: Drug Disc Flg: Sply Drg Flg: Adjdn Cde: 90 Day Flg: Sbm Clfn Cde: Lvl of Serv: Transition Code: Custmzd Frmly Indr: Splmntl Indr: Pharmacy ID: Pharmacy NPI: Response Plan Id: Chemo Mandate: Patient Residence: Patient Locn: Processed as Indr: Place Of Service: Plan Type: Edit Type: Fill Type:

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Glossary

Non-Covered Plan Paid Amount (NPP)

The amount of plan payment for enhanced alternative benefits (cost sharing fill-in and/or non-Part D drugs). This dollar amount is excluded from risk corridor calculations and TrOOP accumulation.

Patient Liability Reduction Due to Other Payer Amount (PLRO)

This field contains amount by which patient liability is reduced due to payment by other payers (PLRO) that are not TrOOP-eligible and do not participate in Part D but amount does apply towards Gross Drug Spend. Examples of PLRO are N1 transactions.

Post-pay Indicators

Codes that represent specific claim situations. When a claim that meets a post-pay indicator's criteria is processed, the post-pay indicator is added to the claim

Post-pay 3 Indicator - This field indicates the drug coverage status.

- A Administrative (plan covered)
- B Part B drugs
- C Covered
- E Enhanced drugs
- O Over-the-counter (OTC) drugs

Post-pay 4 Indicator - Determines the disposition of drugs that are both Part B and Part D eligible.

- B Part B Drug is not eligible as a Part D drug and is not TrOOP eligible
- D Part D and/or Part B Drug is eligible to be paid as a Part D drug and is TrOOP eligible
- X Excluded drug

Supplemental Wrap (SWRP) Straddle Options

'Blank' – apply cost share from all phases

1 – DD/IC Split – copay to copay – DD copay

2 – IC/CG Split – copay to copay – IC copay

B – Both Splits – copay to copay – 1st phase copay

3 – DD/IC Split – costshare to costshare – DD costshare

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4 – IC/CG Split – costshare to costshare – IC costshare

A – Both Splits – costshare to costshare – 1st phase costshare

True Out Of Pocket (TrOOP)

Total drug spend and member paid amounts. These figures are totaled by individual member and are applied to the proper coverage phase for that member. Total drug spend and member paid amounts are sent to the accumulation programs to determine the coverage phase for the current transaction. Member paid amounts will update TrOOP accumulations.